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STELLANTIS EXPANSION IN INDONESIA

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AGENDA

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1. Executive summary
2. Strategic choices
3. Business Plan
4. Micro & Macroeconomic Context
5. Valuation & M&A Strategy
6. Financing
7. Corporate Governance
8. Measurement & Accounting
9. Regulatory and Tax Environment
10. Sustainability
11. Risk Management

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EXECUTIVE SUMMARY

The opportunity

Indonesia is Southeast Asia's largest automotive market, experiencing a rapid shift toward electric mobility . Currently, the market is monopolized by Japanese incumbents and aggressive new Chinese entrants

Strategy

Establish a Joint Venture between Stellantis and Indomobil Group to launch local CKD assembly within 12-18 months at the Karawang plant

The objective

Achieve a 5% BEV market share by unlocking the 0% Luxury Tax via 40% TKDN (Local Content) compliance, ultimately scaling as a zero-tariff ASEAN export hub under the RCEP framework

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STRATEGIC CHOICES

STRATEGIC OPTIONS

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Joint Venture(Indomobil)

Pros	Cons
Rapid CKD launch, shared CapEx, and crucial institutional leverage to secure TKDN certification	Profit dilution and need for European task forces to bridge the local EV skills gap



Greenfield Investment

Pros	Cons
Absolute strategic control, total IP security, and 100% profit retention	Prohibitive CapEx and a slow 3-4 year timeline, losing the critical market window to Chinese competitors



Strategic M&A

Pros	Cons
Immediate manufacturing capacity and total autonomy	Extreme integration risks, legacy ICE liabilities, and lack of feasible targets due to the entrenched Japanese oligopoly

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OUR CHOICE: JOINT VENTURE

INDOMOBIL GROUP

Rapid market entry

Reduction in risk capital

Collaboration with Indomobil to navigate Indonesian bureaucracy and securing the TKDN

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BUSINESS PLAN

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OPERATIONAL OBJECTIVES

Rapid CKD Production Launch

Initiate local CKD by leveraging the existing facilities of Indomobil Karawang plant

ASEAN Export Hub Activation

Commence the export of locally assembled EVs to neighboring ASEAN markets at zero tariffs by utilizing the RCEP framework



Localized Supply Chain Integration

Finalize long-term supply agreements with the Indonesian Battery Corporation and local miners to secure low-cost battery raw materials

TKDN Compliance & Tax Optimization

Secure the mandatory 40% Domestic Component Level (TKDN) certification to formally unlock the 0% luxury tax and 1% VAT incentives available in 2026

Commercial Target

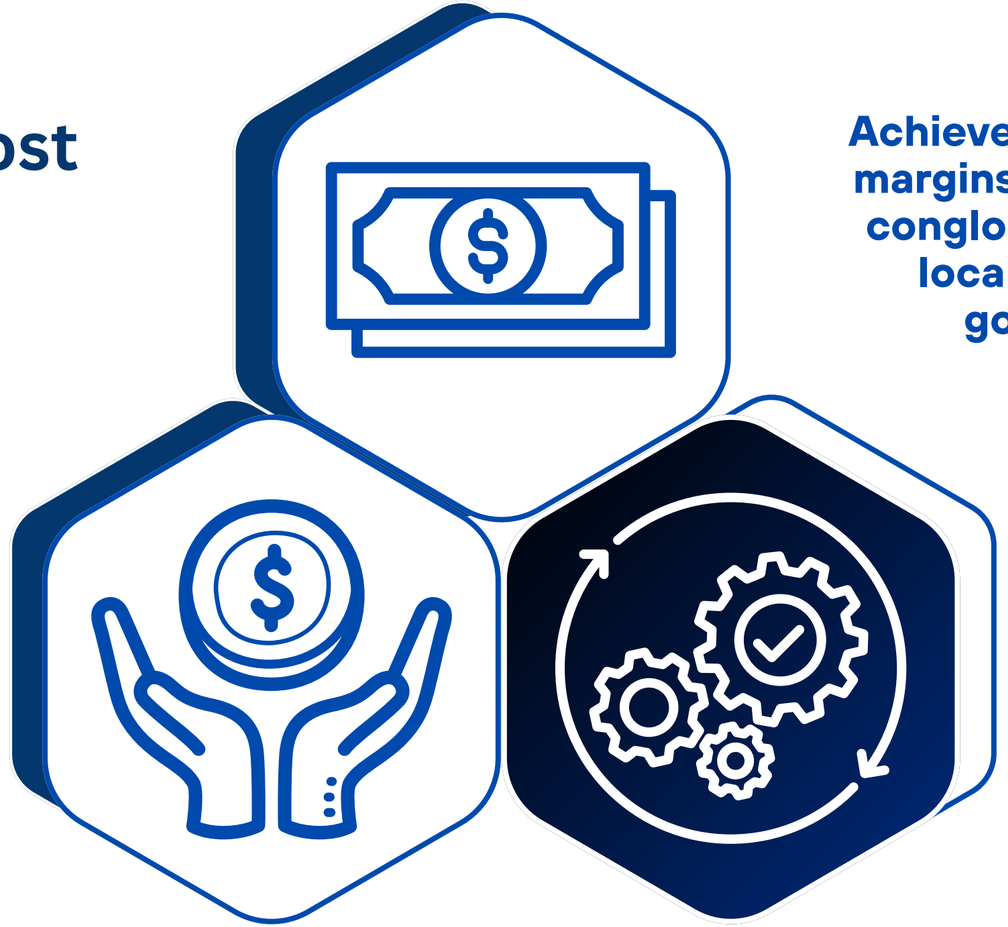
Achieve a 5% market share in the Indonesian BEV segment in a market with annual sales projected to reach ~250.000 units by 2030

STRATEGIC OBJECTIVES

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Sustainable Cost Leadership

Achieve competitive operational profit margins against established Japanese conglomerates by strictly leveraging local low-cost sourcing and the government tax incentives.



Operational Break-Even

Reach operational break-even within 24 months from the start of CKD production, driven by rapid scaling, shared CapEx depreciation, and RCEP export volumes

CapEx Efficiency & Risk Mitigation

Minimize Stellantis' upfront capital expenditure and financial exposure by sharing the costs of factory conversion with the local partner

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ROADMAP

1-6 months

JV Formalization and TKDN Roadmap Initiation

7-12 months

Facility Retrofitting, Supply Chain Lock-in and EV Tech Up-skilling

13-18 months

First Roll-out and Dealership Integration

19-24 months

TKDN 40% Milestone, CKD Pricing Tactic Activation and ASEAN Export Hub Activation

24-36 months

Path to Break-Even

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BUSINESS MODEL CANVAS

Key Partners

Indomobil Group (Local Partner): Crucial for navigating the regulatory and tax environment and securing "Social License to Operate"
Regulatory Bodies: Engagement for investment incentives and tax scanning compliance
Indonesian Battery Corporation (IBC): Strategic supplier for local nickel-based battery components, essential for TKDN 40% compliance and cost leadership.

Key Activities

Key activities include localizing production, manufacturing vehicles, managing distribution, and transferring technology.

Key Resources

Intellectual Property: Proprietary technology and strategic R&D from Stellantis.
Domestic Infrastructure: Leveraging the local partner's manufacturing facilities and regional logistics knowledge

Value Propositions

Accessible European Innovation: Affordable European technology adapted to Indonesian consumer needs. (Citroën/Peugeot) localized for the Indonesian market. Focuses on balancing European comfort with price sensitivity and sustainability goals

Customer Relationships

Customer relationships are built through after-sales service, warranties, financing options, and EV education.

Channels

Utilizing the local partner's established B2B and B2C networks to bypass high entry barriers. Focused on achieving immediate market penetration through existing domestic showrooms

Customer Segments

Targeting the Middle Class: Focus on the expanding Indonesian middle class and government/corporate sectors seeking sustainable mobility solutions

Cost Structure

Costs mainly come from localization and manufacturing (factory retrofitting, CKD assembly), R&D and TKDN compliance investments, marketing and distribution setup, debt servicing (€100M green loan at 8.5%), and European engineering task force deployment.

Revenue Streams

Revenue is generated primarily from vehicle sales (Citroën ë-C3 for volume, Jeep for premium margins), supported by after-sales services and financing options. Secondary stream: zero-tariff RCEP export revenues from Indonesian-assembled EVs to ASEAN markets.

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UNIQUE VALUE PROPOSITION

Competitive Advantage

The joint venture combines Stellantis' advanced technology with Indomobil's strong local expertise, creating a clear advantage in entering and competing in the Indonesian market.

Regulatory Advantage

The partnership with Indomobil helps overcome regulatory complexity and ensures compliance with local content requirements.

Technological Advantage

Stellantis brings advanced EV and multi-energy technology, supporting high efficiency and alignment with environmental standards.

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MICRO/MACRO ANALYSIS

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LOCAL MARKET ANALYSIS

Large but Challenging Market

- Southeast Asia's largest automotive market
- Highly concentrated and competitive
- Dominated by Japanese brands (Toyota, Honda >65%)

Price-Driven Customers

- Strong price sensitivity
- Preference for practical vehicles (MPVs, SUVs)
- Reliability > brand prestige

Rapid EV Growth

- EV segment growing fast (+49%) according to PwC report
- Market share reaching ~15–18% according to ICCT and PwC reports
- Shift toward sustainable mobility

Intense Competition

- Strong incumbents with high brand loyalty
- Expanding competition from Chinese EV brands
- High entry barriers due to established players

Distribution is Key

- Dealer networks dominate sales
- After-sales service is critical
- Local presence = competitive advantage

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PORTERS 5

Competitive Rivalry	Bargaining Power of Suppliers	Bargaining Power of Buyers	Threat of Substitution	Threat of New Entrants
Market is dominated by Japanese manufacturers: • Toyota 54% market share • Honda 12% → Japanese brands represent about 75% of total sales	• Strong local supply chains already exist • Indonesia's nickel resources give advantage for EV batteries	• Customers are highly price-sensitive • Preference for affordable, practical vehicles such as MPVs and SUVs • Many alternatives available • Low switching cost between brands	• Alternatives include: ◦ Public transportation ◦ Motorcycles ◦ Used car market • However: ◦ Rising middle class increases car ownership demand ◦ Cars still preferred for family use and status	• High entry barriers: ◦ Strong incumbents ◦ Local production requirements (TKDN 40%) ◦ Established supply chains • However: ◦ EV transition opens the door for new players, especially Chinese brands ◦ Government incentives support new EV entrants

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PESTEL ANALYSIS

P L

- **Strong Government Intervention**

Policies support EV industry growth and local industrialization.

- **TKDN Requirement (40%)**

Local content rule for EVs. Compliance gives incentives; failure leads to heavy taxes.

- **Complex Bureaucracy**

Indonesian regulations and BKPM procedures make a local partner strategically essential.

- **EU–Indonesia CEPA**

Future agreement may reduce tariffs on European vehicles and improve long-term competitiveness.

E

- **Tax Incentives**

Meeting the 40% TKDN threshold unlocks 0% luxury tax and 1% VAT, enabling 20–30% lower retail prices.

- **Market Concentration**

Strong competition from established Japanese brands, especially Toyota with ~54% market share.

- **Currency Risk**

IDR/Euro exchange rate volatility creates moderate margin and pricing uncertainty.

S

- **Growing Middle Class**

Young and tech-oriented population supports rising vehicle demand.

- **Practical Consumer Preferences**

Buyers prioritize affordability, reliability, and 7-seater MPVs/SUVs over brand prestige.

- **Urbanization & Pollution**

High pollution in cities like Jakarta increases support for EV adoption and electrification policies.

T

- **Nickel Resource Advantage**

Indonesia's large nickel reserves attract global EV battery investment and support lower battery production costs.

- **Upstream Supply Access**

Partnership with IBC helps secure battery material supply

- **Skills Gap**

Limited local expertise in high-voltage systems and software-defined vehicles requires major knowledge transfer from Europe.

E

- **Net-Zero Alignment**

Indonesia's official net-zero emissions roadmap supports regulatory and market incentives for EV adoption.

- **Net-zero emissions**
- **Urban Air Quality Crisis**

Severe pollution in Jakarta strengthens the local demand case for zero-emission vehicles.

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VALUATION AND M&A

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VALUATION AND M&A

Speed to Market

Immediate access to Indomobil's Karawang plant (80,000 units/yr) and nationwide dealership network — CKD launch in 12–18 months

Regulatory Navigation

Leverage local political capital to secure 40% TKDN certification, unlocking 0% Luxury Tax and 1% VAT incentives

CapEx Efficiency

Shared upfront investment for retrofitting legacy lines to STLA EV platforms, minimising financial exposure in an emerging market

JV Structure

51%

STELLANTIS

Capital & STLA Technology
€234.6M contribution

49%

INDOMIBIL GROUP

Physical Assets & Local
€225.4M contribution

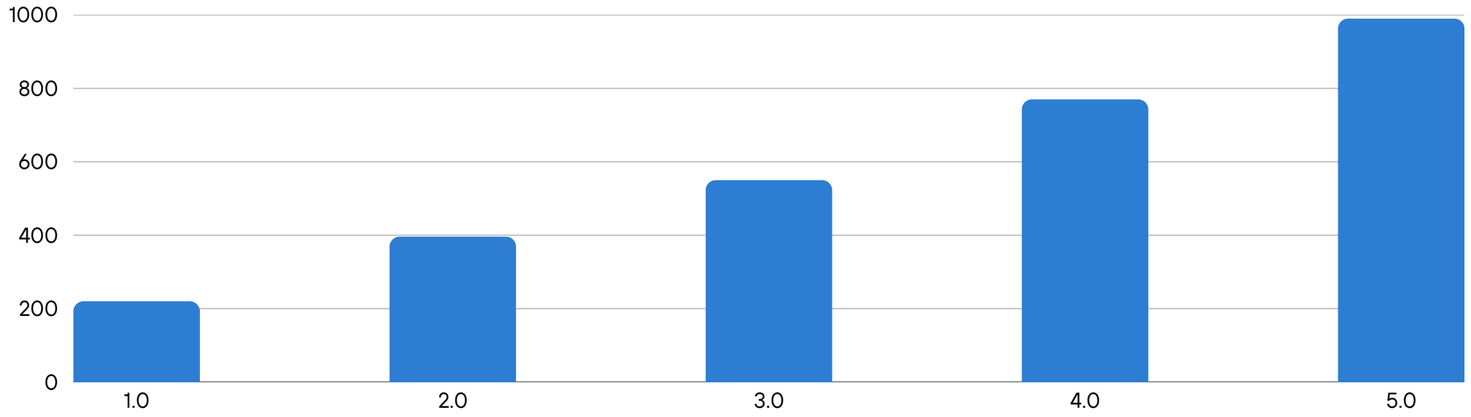
TARGET ENTERPRISE VALUE	**€460M**	EV/EBITDA Multiple	Methodology
		10.8x	DCF + Comp. Analysis

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DCF ANALYSIS

5-Year Cash Flow Projection | WACC: 14.05% | EV/EBITDA Exit Multiple: 10.0×

Year	Units Sold	Revenue (€M)	EBITDA (€M)	PV (€M)
2026	10,000	220.0	16.5	14.5
2027	18,000	396.0	29.7	22.8
2028	25,000	550.0	41.3	27.8
2029	35,000	770.0	57.8	34.1
2030	45,000	990.0	74.3	38.5
TOTAL	**133,000**	**2,926.0**	**219.6**	**137.7**



VALUATION SUMMARY

Sum of DCF (PV)	**€137.7M**
Terminal Value	**€384.8M**
Total Intrinsic EV	**€522.5M**
Target EV (conservative)	**€460M**

WACC Parameters

Rf: 6.75% β: 1.46 ERP: 6.7% CRP: 2.46% Rd: 8.5% Tax: 22%

WACC = 14.05% | ASP: €22,000 | EBITDA Margin: 7.5%

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SYNERGIES RISKS & INTEGRATION

SYNERGY ANALYSIS

Cost Savings (CapEx & OpEx)

Stellantis' global purchasing + IBC local sourcing → TKDN compliance → 0% Luxury Tax + 1% VAT incentives

Revenue Enhancements

Indomobil's Java & Sumatra channels enable rapid 5% market share penetration; RCEP framework for ASEAN zero-tariff export hub

RISK ASSESSMENT

Cultural & Strategic Misalignment

Conflict between European management and Indomobil's local culture; partner distributes rival brands (Suzuki, Great Wall Motor)

Integration Failures

Physical challenge of retrofitting outdated ICE lines for advanced software-defined EV platforms

Market Volatility

IDR/EUR fluctuation, battery raw material price instability, and emerging market dynamics in ASEAN

INTEGRATION TIMELINE

Phase 1 (M 1–6)

JV Legal Formalization

TKDN blueprint validation — CEO, COO

Phase 2 (M 7–12)

Facility Retrofitting

EV tech up-skilling of local workforce — CTO & Engineering Task Force

Phase 3 (M 13–18)

First CKD Roll-out

Dealership integration — COO

KEY MITIGATIONS

- ✓ European Engineering Task Force for EV tech transfer
- ✓ Dedicated Stellantis showrooms mandated in JV agreement
- ✓ Direct IBC procurement for battery supply lock-in
- ✓ JV CapEx sharing as financial risk shield

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FINANCING

CAPITAL NEEDS

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To successfully execute the 36-month expansion roadmap and achieve our 24-month operational break-even target, the Joint Venture requires a total cash capital injection of €250 Million

Working Capital & Supply Chain Lock-in (€35M)

IBC nickel/battery procurement contracts to guarantee 40% TKDN compliance

Facility Retrofitting & Operations (€150M)

STLA platform adaptation at Karawang plant + European engineering task force

Contingency Reserve (15M)

Strategic buffer for currency fluctuations and ASEAN raw material volatility

Market Entry & Dealership Rollout (€50M)

Dedicated showrooms across Java & Sumatra + CBU import marketing strategy



FUNDING SOURCES

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Evaluation of equity vs. debt financing and rationale for the selected hybrid capital structure

EQUITY FINANCING

ADVANTAGES

No interest burden
Protects the JV during the pre-launch phase — no cash outflow before CKD revenues begin

Government signalling
Strong parent-company commitment reassures Indonesian regulatory bodies

LIMITATIONS

Dilutes Stellantis' global cash reserves, reducing strategic flexibility

Higher inherent cost of capital vs. a leverage-optimised debt structure

DEBT FINANCING · GREEN LOAN

ADVANTAGES

Lower cost of capital
Optimises WACC and preserves Stellantis' global liquidity — no parent cash drain

ESG Green Loan discount
0.25% rate reduction + IDR-denominated structure naturally hedges EUR/IDR currency risk

LIMITATIONS

Strict financial covenants — mandatory TKDN compliance and CapEx adherence

Requires immediate cash flow generation before CKD revenues begin (Months 1–12)

SELECTED STRATEGY

60% Equity / 40% Debt

Provides sufficient equity to absorb initial CapEx and TKDN compliance costs safely, while leveraging debt to optimise the overall WACC. The 60/40 split is directly consistent with the capital structure assumptions used in the DCF valuation (W_e = 0.60, W_d = 0.40) and builds key relationships with Indonesian banking institutions via the Syndicated Green Loan.

GREEN LOAN AND DSCR

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SYNDICATED GREEN LOAN · €100M

Source & Currency

Consortium of local Indonesian banks (Bank Mandiri) and international lenders. Loan structured in IDR to naturally hedge EUR/IDR exchange rate risk, matching debt service with JV revenues.

Structure & Grace Period

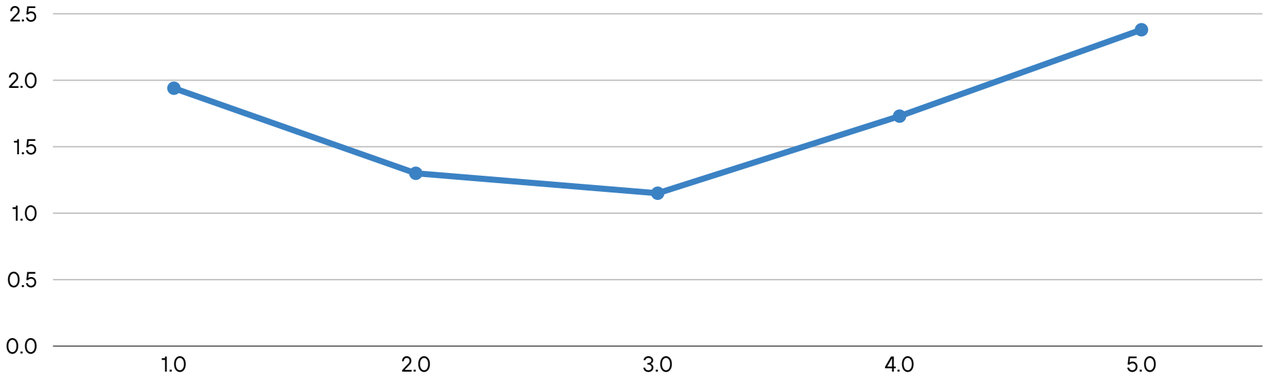
5-year amortizing term loan. First 18 months interest-only, aligned with the Karawang facility retrofitting phase, during which no CKD production revenue is generated.

Repayment Schedule

Principal repayments commence Month 19 on a straight-line basis: ~€28,5M/year across 4 years (2027–2030). Key covenants: 40% TKDN certification + CapEx budget adherence.

DEBT SERVICE COVERAGE RATIO (DSCR)

Year	EBITDA (€M)	Principal (€M)	Interest (€M)	Total DS (€M)	DSCR
2026 [1]	16.5	0	8.50	8.50	**1.94×**
2027	29.7	14.3	8.50	22.8	**1.30×**
2028	41.3	28.5	7.30	35.8	**1.15×**
2029	57.8	28.5	4.90	33.4	**1.73×**
2030	74.3	28.7	2.40	31.1	**2.38×**



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MEASUREMENT & ACCOUNTING

FINANCIAL ACCOUNTING & BUDGETARY CONTROL

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To maintain transparency and financial health, the Joint Venture operates under IFRS. Three core control mechanisms ensure fiscal discipline throughout the project lifecycle.

BREAK-EVEN

Track Payback Period to recover CAPEX for local assembly plants through sales revenue.

Within 24 months

VARIANCE ANALYSIS

Compare Budgeted vs. Actual costs — especially volatile nickel & lithium for EV batteries.

Monthly

CASH FLOW MONITORING

Ensure sufficient working capital during the scaling phase (Months 12–18).

Daily monitoring

FINANCIAL STATEMENTS

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The three-year projections show strong revenue growth from €220M to €550M. While Year 1 posts a net loss due to initial investment, the project turns profitable in Year 2 and operating cash flow remains positive throughout.

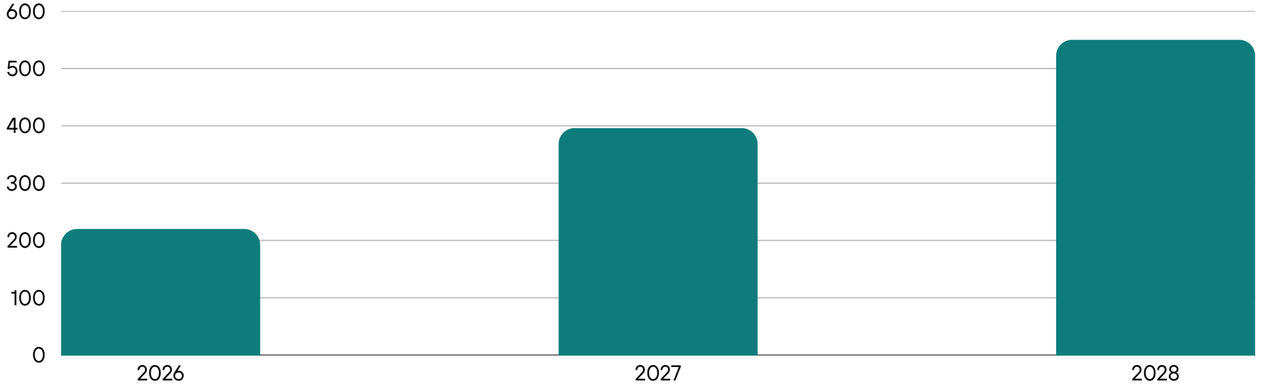
PROFIT & LOSS (€M)

	2026	2027	2028
Revenues	220.0	396.0	550.0
EBITDA	16.5	29.7	41.3
EBIT	1.5	14.7	26.3
Net Income	**(7.0)**	**4.8**	**14.8**

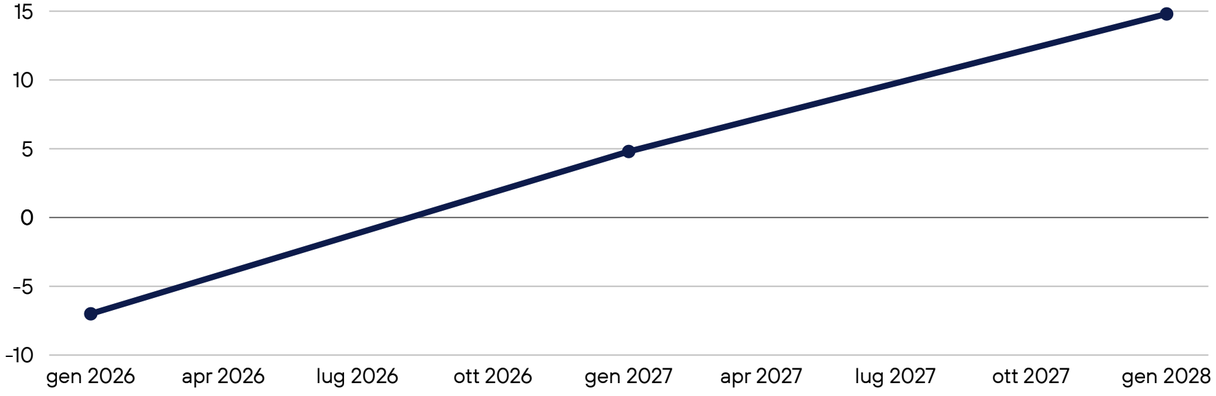
CASH FLOW STATEMENT (€M)

	2026	2027	2028
Net Income	(7.0)	4.8	14.8
Depreciation	15.0	15.0	15.0
Operating CF	8.0	19.8	29.8
Net Change	**+8.0**	**+5.5**	**+1.3**

Revenue grows 2.5x over three years, reflecting successful market penetration:



Net income turns positive in Year 2, confirming the 24-month break-even target:



BALANCED SCORECARD

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Rather than relying solely on financial metrics, Stellantis adopts the Balanced Scorecard framework (Kaplan & Norton, 1996) to monitor performance across four integrated perspectives.

Four Integrated Perspectives · Stellantis Indonesia JV Performance Framework

Financial

KPI **Operating Profit Margin**

Target **8–10% by Year 3**

Customer

KPI **Customer Satisfaction Index (CSI)**

Target **> 85 / 100**

Internal Process

KPI **Local Assembly (CKD) Efficiency**

Target **Start within 18 months**

Learning & Growth

KPI **Local Workforce Training**

Target **100% of staff certified**

COMPLIANCE, AUDITING & SENSITIVITY

A critical part of the accounting function is ensuring regulatory compliance to secure government incentives, while rigorous auditing safeguards fiscal responsibility.

COMPLIANCE & AUDITING

TKDN Audit

Local content must exceed 40% (Presidential Decree 55/2019) to qualify for 0% Luxury Tax (PPnBM).

ESG Reporting

Track carbon credits & energy consumption in line with Dare Forward 2030 sustainability targets.

Internal & External Audits

Quarterly risk assessments cover IDR/EUR exchange rate fluctuations and potential changes in Indonesian import tariffs.

SENSITIVITY ANALYSIS · IFRS 13 / IAS 36

The sensitivity analysis below (IFRS 13 / IAS 36) tests Enterprise Value under three market scenarios, stressing WACC and production volume:

Scenario	WACC	Volume	EV
Pessimistic	16.05%	113,050 units	**€415M**
Base Case	14.05%	133,000 units	**€522M**
Optimistic	12.05%	152,950 units	**€645M**

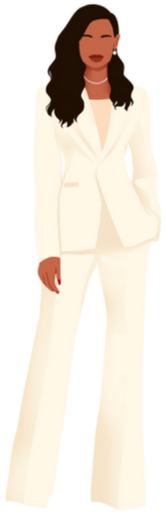
Even in the worst case (€415M EV), no IAS 36 impairment is triggered — comfortably above the €250M initial capital injected.

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CORPORATE GOVERNANCE

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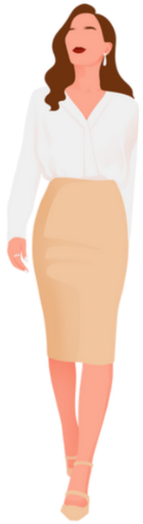
MANAGEMENT STRUCTURE



CEO: Ensures alignment with the global Dare Forward 2030 strategy and overall JV direction.



CCO: Manages dealer network, enforces dedicated showroom strategy, and tracks market share targets.



CTO: Protects STLA platform IP, maintains engineering/quality standards, and oversees software-defined vehicle architecture.



COO (Indomobil): Handles local operations: supply chain execution, TKDN compliance, workforce retention, and union relations.

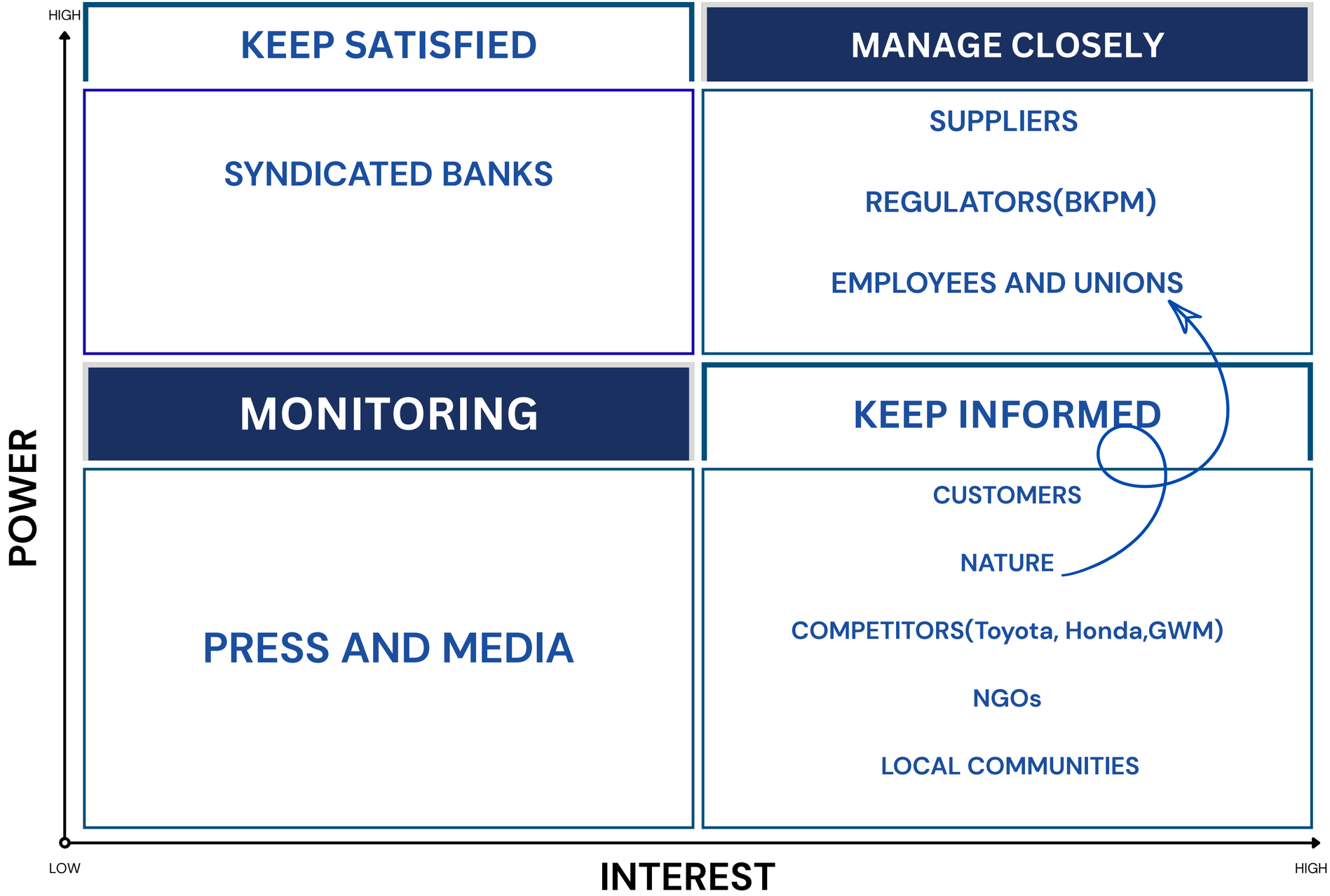
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CONTRACTUAL MECANISMS

- Exclusivity: dedicated EV showrooms across Indomobil's network
- Performance incentives tied to BEV market share & TKDN milestones
- IP protections: STLA licence with Stellantis holding entity
- Drag-along/tag-along exit provisions for both parties
- Clear escalation paths → CEO → Board for strategic deadlocks
- TKDN failure triggers pre-agreed remedial & exit mechanisms

STAKEHOLDERS MATRIX

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SILENT STAKEHOLDERS



HOST COUNTRY WORKFORCE

Affected by wages, working conditions, job security



LOCAL COMMUNITIES

affected by noise, pollution, traffic, and land use.

NATURE AND FUTURE GENERATIONS

Systemically relevant and deeply affected by operations, but without direct representation. Elevated to a core priority via TNFD(Taskforce on Nature-related Financial Disclosures) framework

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REGULATORY AND TAX ENVIRONMENT SCANNING

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AUTOMOTIVE REGULATION IN INDONESIA

Highly regulated Market

Indonesia's automotive sector is strongly controlled by the government, with regulations shaping market entry, production standards, and industry development. Policies support long-term goals such as industrial growth, sustainability, and electrification.

Import Restrictions & Tariffs

High import tariffs make foreign vehicles less competitive, protecting domestic manufacturers. Although the EU–Indonesia CEPA agreement may reduce tariffs in the future, import barriers remain significant in the short term.

EV Policies & Incentives

The government actively promotes electric vehicles through incentives and investments. EV development is a strategic priority, with strong support for battery production and infrastructure to build a full EV ecosystem.

Local Production Requirements (TKDN)

Manufacturers must meet strict local content requirements, especially in the EV sector. These policies aim to strengthen domestic supply chains and encourage local production.

Strategic Implication for Stellantis

A joint venture is essential for compliance with local regulations, access to EV incentives, and reducing tariff exposure. It also helps navigate bureaucracy and can be considered a necessity for successful market entry.

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SUSTAINABILITY



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STELLANTIS' SDG ALIGNMENT

	SDG	Dimension	Key JV Commitment	2030 Target
	**SDG 3 — Health**	E	Urban air quality improvement via zero-emission fleet	100% tailpipe elimination across JV vehicles
	**SDG 4 — Education**	S	EV Skills Academy & vocational partnerships	500 certified HV/EV technicians
	**SDG 5 — Gender Equality**	S	Gender diversity in technical & leadership roles	≥ 25% women in technical workforce
	**SDG 7 — Clean Energy**	E	Karawang factory renewable energy programme	≥ 50% renewable energy share
	**SDG 8 — Decent Work**	S	Local hiring, MSME development, decent wages	~5,700 direct + indirect jobs
	**SDG 9 — Industry & Innovation**	E / S	BEV manufacturing & local supply chain development	15,000 units/yr; 60% local procurement
	**SDG 11 — Sustainable Cities**	E / S	Urban emissions + Karawang community investment	85,000 tCO_2e/yr avoided in metro Jakarta
	**SDG 12 — Responsible Production**	E / G	Supply chain traceability; zero waste to landfill	100% tier-1 battery suppliers audited
	**SDG 13 — Climate Action**	E	Lifecycle emission reduction; net-zero alignment	~1.4 million tCO_2e avoided cumulatively
	**SDG 17 — Partnerships**	G / E	RCEP export hub; IBC partnership; policy co-creation	6,000 ASEAN export units/yr by 2030

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ENVIRONMENTAL STRATEGY: EV IMPACT & SUSTAINABILITY

Vertical Battery Integration

Direct nickel supply via IBC → localised production, lower scope 3 emissions

Retrofit vs Greenfield

Repurposing an existing Karawang factory reduces embodied carbon significatly

STLA BEV Platforms

Engineered ground-up for energy efficiency; lower total lifecycle emissions vs. ICE

RCEP Export-Hub

Zero-tariff ASEAN base multiple EV adoption impact across the region

Jakarta Air Quality

Zero-emission vehicles directly address Indonesia’s #1 urban health crisis

Net-Zero Alignment

Expansion synchronized with Indonesia’s official 2060 net-zero roadmap

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ENVIRONMENTAL IMPACT

-100%

- TAILPIPE CO_2
- Zero exhaust emissions per BEV vs. 2.4 tCO_2/yr for an equivalent ICE vehicle

-61%

- LIFECYCLE CO_2
- Well-to-Wheel reduction vs. ICE, based on Indonesia's current grid intensity

85Kt

- CO_2 AVOIDED / YEAR
- Fleet-level saving at 5,000 units/year production capacity

1.4M

- CUMULATIVE BY 2030
- Total CO_2e avoided across Indonesia + ASEAN export markets via RCEP

-82%

- EMBODIED CARBON
- Brownfield retrofit vs. greenfield factory build (~10K vs. ~55K tCO_2)

6K y

- ASEAN EXPORTS
- BEV units exported via RCEP zero-tariff access to 15 member states by 2030

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RISK MANAGEMENT

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RISKS

Partner risk

Potential strategic misalignment, conflicts of interest regarding rival brands, or non-performance by Indomobil

Mitigations

- Exclusivity clause on EV showrooms
- Incentives tied to BEV market shares and TKDN targets
- Exit provisions with drag-along rights

Operational risk

Technical challenges associated with retrofitting legacy assembly lines and the local workforce's lack of specialized skills for high-voltage EV manufacturing

Mitigations

- European task force
- HV and software training programme
- Phased QC protocol and Pre-launch safety audit by CTO

Regulatory risk

The critical threat of failing to achieve the mandatory 40% local content threshold, which would result in the loss of vital tax incentives

Mitigations

- Real time compliance tracker
- Local procurement targets set well above the 40% threshold
- Quarterly independent audits

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RISKS

Market Risk

Severe price competition and margin compression driven by the aggressive expansion of Chinese EV manufacturers in the region

Mitigations

- CKD pricing and TKDN tax advantage
- Dual brand: Citroen + Jeep
- RCEP zero tariff export base

Currency Risk

Profitability erosion caused by exchange rate volatility and the potential depreciation of the Indonesian Rupiah against the Euro

Mitigations

- Natural hedge: IDR costs vs revenues
- USD IBC contracts for predictability
- FX derivatives and option on repatriation

Social / Community Risk

Potential labor unrest, union friction, or community disputes arising during the industrial transition from ICE to EV production

Mitigations

- CSR program in Karawang
- Local hiring
- EV upskilling and job creation

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RISKS

Natural Risk

Infrastructure damage and supply chain disruptions caused by seismic events or floods in the West Java region

Mitigations

- Strict structural safety audits
- Implement business interruption insurance policies

Cybersecurity & IP Theft

Vulnerabilities in local IT architectures that could lead to cyberattacks and the theft of proprietary STLA platform software

Mitigations

- Enforce Stellantis IT architectures
- Core STLA platform software hosted on secure European servers
- Grant JV execution-only access overseen by the Stellantis appointed CTO.

Political Risk

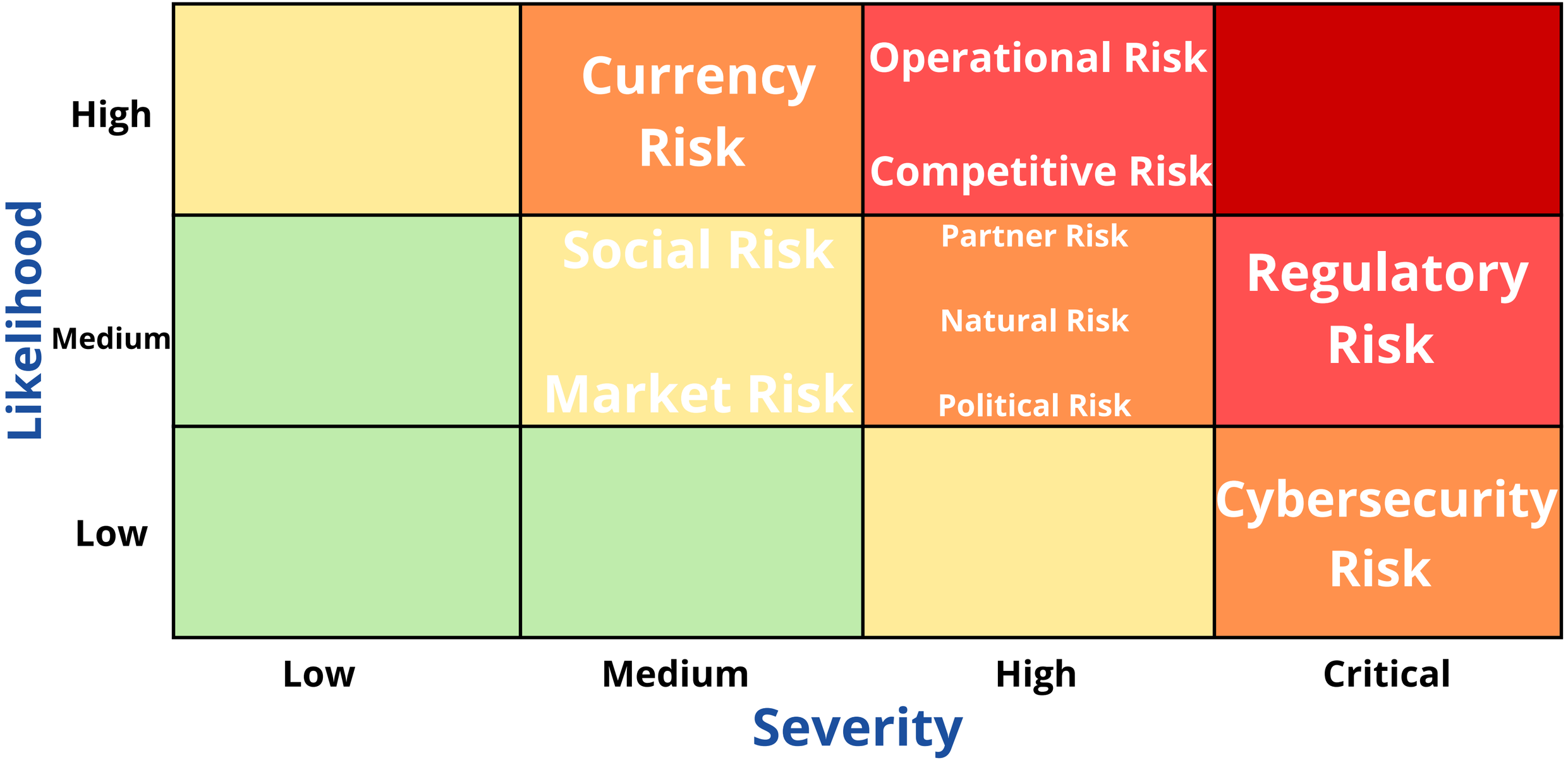
Unanticipated shifts in government policies, such as the sudden revocation or reduction of national electric vehicle tax incentives

Mitigations

- Institutional lobbying via Indomobil's COO
- Over-comply with TKDN as a buffer against sudden regulatory tightening.

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RISK MATRIX



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STRUCTURAL DEFENSE & RISK MONITORING

RISK MONITORING AND GOVERNANCE

Monthly Risk Reviews

Joint Stellantis-Indomobil risk committee reviews all active risk categories against predefined KPI thresholds.

TKDN Quarterly Audits

Independent component sourcing audits submitted to Ministry of Industry and available to JV Board.

Partner Performance Scorecard

Indomobil's performance tracked monthly against market share, TKDN compliance, and dealership activation milestones.

Scenario Planning

Annual stress-testing of financial model against adverse scenarios: IDR depreciation of 20%, Chinese competitor price cuts of 15%, and TKDN certification delay of 6 months.

STRUCTURAL DEFENSE

TKDN Price Parity

Reaching the 40% TKDN milestone, Stellantis' tax incentives enable a 20–30% retail price reduction closing the price gap with Chinese competitors.

European Brand Premium

Citroën and Peugeot carry brand equity for comfort, design, and quality that Chinese brands cannot replicate

After-Sales Network

Indomobil's established service infrastructure provides superior after-sales confidence compared to newer Chinese entrants

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THANK YOU

Fabrizio Rubino

Business Planning

Financial Analysis

Risk Management

Valuation and M&A

Strategic Choices

Amanda Ruuhijärvi

Business Planning

Micro analysis
Sustainability

Regulatory environment scanning

Selma Ines Djouini

Macro analysis

Corporate governance

Sustainability

Risk management

Gianluca Leto

Valuation and M&A

Financial Analysis

Tax environment

Strategic Choices

AI USE

Field	Generative AI tool(s) used	Purpose/Function	Methodology/Approach
Text generation, translation and summarisation	Claude	Rewriting paragraphs to improve readability and consistency	Text written independently, then revised in places with the help of AI to improve the structure or summarise certain sections
Text revision	Gemini	Spelling and grammar checking	AI was used as a secondary tool to check the document
Data	Claude	Data and source research	Used to make sure the data found was real
Another field	Claude	Projection on the environmental impact	used as a projection tool based on numbers gathred